

SoP4/16 - The PRA's approach to the implementation of the O-SII buffer

Effective Date: 03-03-2026

Source: <https://www.prarulebook.co.uk/guidance/statements-of-policy/sop---the-pras-approach-to-the-implementation-of-the-o-sii/03-03-2026>

Type: Statement of Policy

Scraped: 2026-03-02 22:32

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First published on 5 December 2016

This Statement of Policy (SoP) sets out the Prudential Regulation Authority's (PRA) approach to the implementation of the other systemically important institutions (O-SII) buffer, and prior to that, the systemic risk buffer (SRB).

In line with the Independent Commission on Banking (ICB) recommendations, the UK legislation implementing the SRB requires the

Financial Policy Committee (FPC) to establish a framework for an SRB that applies to large building societies and ring-fenced bodies (RFBs). The SRB Regulations require the PRA to apply the framework set out by the FPC on the SRB from 1 January 2019.

The FPC published 'The Financial Policy Committee's framework for the systemic risk buffer' ('FPC framework') in May 2016. Alongside the FPC framework, this SoP will form the Bank of England's broader framework for the SRB.

The PRA will review this SoP at least every two years.

This SoP is relevant to RFBs, within the meaning of section 142A of the Financial Services and Markets Act 2000 (FSMA), and large building societies that hold more than £25 billion in deposits (where one or more of the account holders is a small business) and shares (excluding deferred shares) – jointly 'SRB institutions'.

Current version

Published on 3 July 2025. Effective from 31 July 2025

- [SoP4/16 – The PRA's approach to the implementation of the O-SII buffer– July 2025 \(pdf\)](#)
- - Following [PS8/25 – Updates to the UK policy framework for capital buffers](#)

Past versions

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Published on 20 November 2023. Effective from 20 November 2023.

[Statement of policy – ‘The PRA’s approach to the implementation of the O-SII buffer \(clean version\) \(PDF\)](#) - this contains amendments as tracked here – [statement of policy \(showing changes\)](#)

- These amendments follow on from – [An FPC Response – Amendments to the FPC’s framework for the O-SII buffer.](#)

Published on 28 December 2020. Effective from 29 December 2020 (superseded on 20 November 2023 by the November 2023 version).

- [Statement of policy – ‘The PRA’s approach to the implementation of the O-SII buffer’ \(PDF\)](#)

- following [PS29/20 ‘Capital Requirements Directive V \(CRD V\)’](#).

Published on 13 December 2018. Effective from 13 December 2018 (superseded on 29 December 2020 by the December 2020 version).

- [Statement of policy – ‘The PRA's approach to the implementation of the systemic risk buffer’ \(PDF\)](#)

- following [PS32/18 ‘The system risk buffer: Updates to the Statement of Policy’](#).

Published 5 December 2016. Effective from 5 December 2016 (superseded on 13 December 2018 by 13 December 2018 version).

- [Statement of policy – ‘The PRA's approach to the implementation of the systemic risk buffer’ \(PDF\)](#)

- following [CP27/16 – ‘The PRA’s implementation of the systemic risk buffer’](#).

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